ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 06 - KEYS TO SELECTING MARKETS THAT WILL MOVE EXPLOSIVELY

Welcome to lesson seven, folks, in the swing trading model. This teaching is going to focus on the keys to selecting markets that will move explosively. We're going to cover the Hallmarks to explosive swing trades. There are eight things I like to look for that are going to deliver, in my opinion, the highest probability for explosive price moves where it's just dynamically moving one-sided. As a swing trader, we want to focus on markets that provide these with the highest probability.

What we look for is the market profiles that show that the major four asset classes (interest rate markets, stocks, commodities, and currencies) are all trying to trend. They're not held in consolidation; they're not at odds with one another; they're not conflicting. If you get one or two of the asset classes showing willingness to trend, that gives us a really favorable market condition for swing trades. It doesn't matter that all four of them are trending. We want at least to have half of the four, or two of them, showing a profile where there's trending environments underway.

Intermarket analysis confluences is the approach that uses all the other asset classes to justify or confirm that the ideas you have as a trade are, in fact, in alignment.

- If we think there's a bullish dollar underway, we should see commodities at resistance levels across the major sectors. This means commodities will fail to make higher highs, even if they break out, they'll be false breakouts, and we'll see commodities very easily breaking their lows or failing to make a rally.

- The opposite would be seen for a bearish dollar. If the dollar is expected to go lower, we will be looking for commodities to have very little resistance in terms of wanting to go higher and strong support levels. Highs are going to be broken on commodities, and lows are going to be supported, with very little breakdown.

Once we arrive at that condition for the dollar, if we're expecting dollars to be bullish, we would be looking for bear scenarios where pairs like Euro Dollar, Aussie Dollar, Pound Dollar, New Zealand Dollar would be at resistance. They would be breaking lows and have difficulty making higher highs, or if they make higher highs, they're false breakouts and trade lower. This would be supportive of a bullish dollar.

- The reverse would be said for a bearish dollar. It means we'd be seeing Euro Dollar, Pound Dollar, New Zealand Dollar, Aussie Dollar at support. They would not be willing to make lower lows, or if they do, they're quickly rejected. Highs in those foreign currencies would be easily traded through. This would also support the idea of a weak dollar.

Third on our list is the COT hedging program alignment. This is where we look back in the last 12 months on the net positions held by the commercial traders. We get a range over the last 12 months with the highest level and the lowest level for their holdings, regardless of their net short or net long. Whatever that range is, we divide that in half, and then we define that in terms of being bullish or bearish.

- If we are supporting the idea that foreign currencies are going to go higher and therefore the dollar index is going lower, we would probably see the COT hedging program show bullishness for pairs like Euro Dollar, Cable, Aussie Dollar. The more you see the commercials holding net long positions in their hedges or their hedging program, the more likelihood you're going to have an explosive move in your favor with a bullish foreign currency idea within a weaker dollar.

- The reverse would be said when you're looking for a stronger dollar. You would expect to see the bearish stance in the hedging done by the commercial.

And in open interest, we look at that because all of the pairs I trade are the majors and their commodity dollars, so I can get the insight gleaned from Commitment of Traders and the open interest that cannot be seen in the spot market. If we look at the open interest, we can actually track the smart money movement of buying and selling.

Seasonal tendency: we can see that there's times when there's a very good probability for markets to want to trade higher or lower based on seasonality. If you can have that in alignment with your trade idea, it obviously pushes the probabilities for an explosive move in your favor.

We now talk about volatility filters. A volatility filter is a way of gauging when the market gets quiet, or there's a contraction in the ranges. If this is seen, what you're seeing is the market going into contraction right before a big explosive type of move. That is a hallmark that spells wild profitability if you get the direction right. It doesn't mean that you know the direction because the markets are going in small ranges; it just means that you're going to see another big explosive move.

- If you have the direction right, many times you're going to see that explosive move take off in the direction you anticipated based on your major market ideas, your intermarket analysis, and what the hedging program suggests by the commercials (are they buying, are they selling?) and open interest (are we tracking smart money buying and selling in relationship to those ideas?).

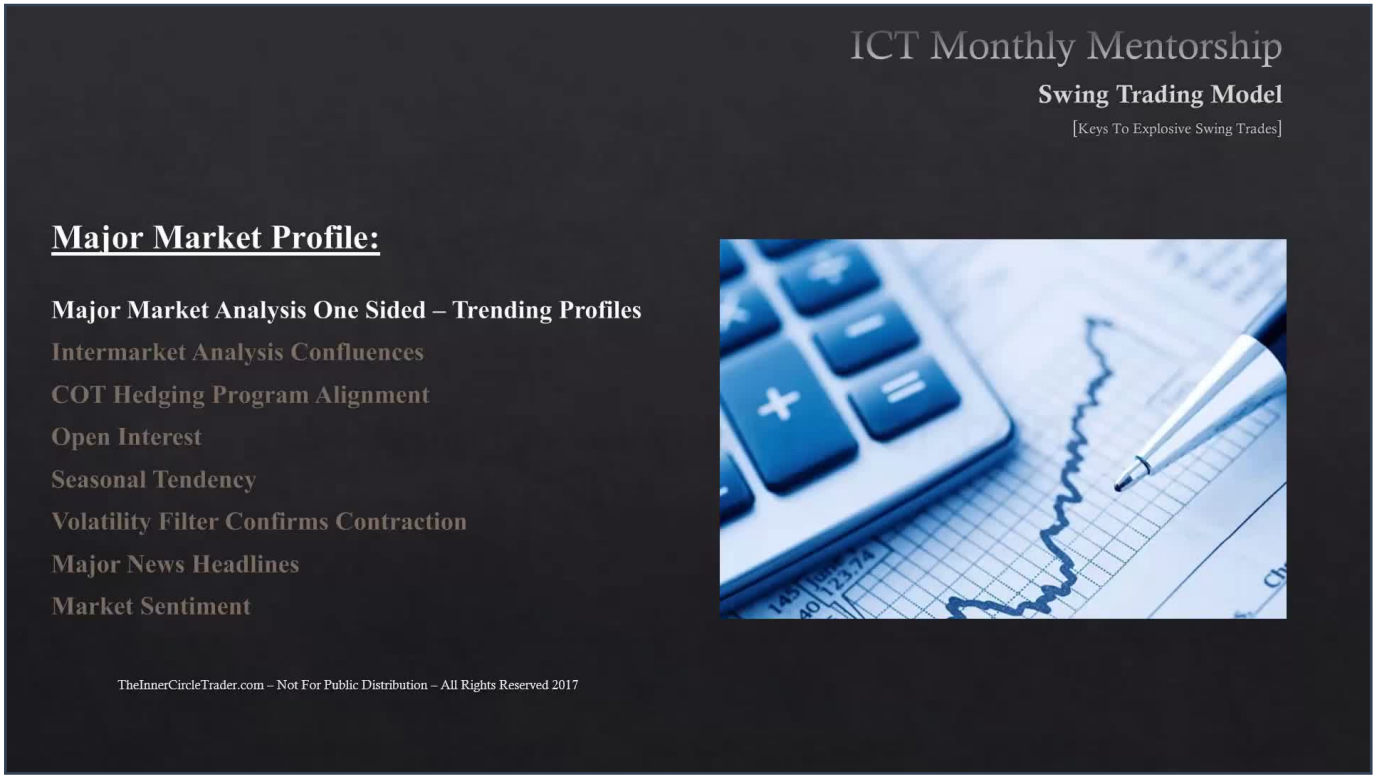
- If that occurs at the same time there's seasonal tendency for it to rally higher and volatility starts to squeeze into small little ranges, there's going to be a high probability that the move is going to be explosive to the upside.

Major news headlines: I like this one because if we have a condition staged and we think that the market's going to go higher based on our major market analysis (markets as a whole on the four categories or asset classes: stocks, interest rates, commodities, and currencies - if two of the four groups are in trending environments because one can always be held in consolidation not really trending; if we see at least half of the four major asset classes trending, we are in a good swing trading model environment).

- If that happens and we are bullish on an environment or a particular market, and a news event comes out and starts jawboning it weak (it's weak, it's not as bullish, or something's wrong with that idea, don't expect it to go higher), anything a talking head would have in their headline, that to me is fuel in the fire if I'm bullish. So if I see there's headlines at a time when I want to be a buyer, that to me helps my trade many times to be explosive in nature.

And lastly, in our list, market sentiment. And all I do is gauge the bullishness or bearishness based on the retail universe's use of indicators.

Let's take a closer look in discussion about major market analysis and being one-sided, and this being a trending profile. If we look at the currencies, stocks, commodities, and interest rates, those four asset classes, we use those for our intermarket analysis. But before we get into our intermarket analysis, we have to look at: are those markets now trending or are they held in consolidation? Again, we're looking for at least two of the categories to be trending. If they are trending, that means that the other two may be just lagging and they're going to eventually go into a trending environment too. Preferably, all four of them should be trending, but there's not going to be times where it's going to be like that. You have to demand at least just two of the major categories to be in a trending environment. If that's the case, then we're going to see a swing trader's environment unfold in the markets that we've whittled down through a top-down analysis.

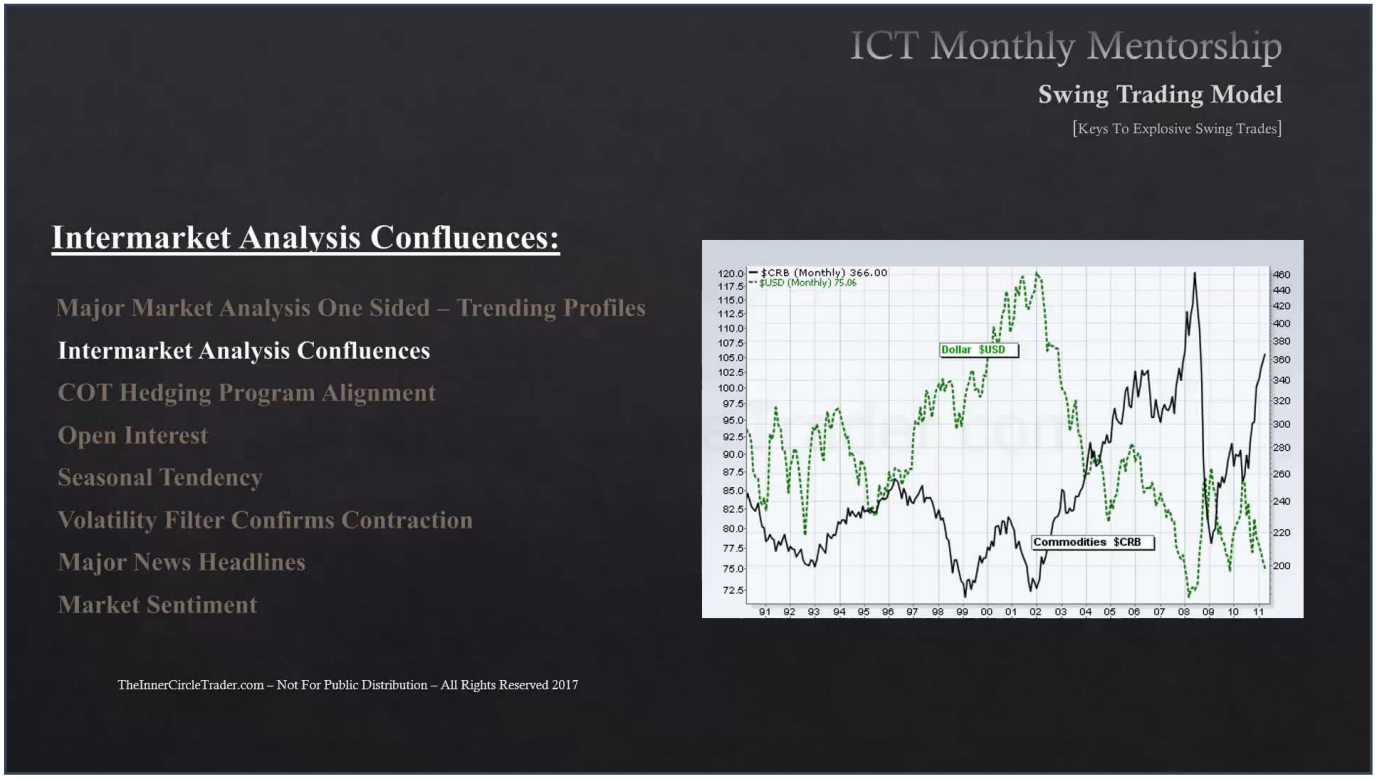


If we see a market asset class like the commodity market being in consolidation, if that's the case, then stocks should be trending, or vice versa if stocks are in consolidation, then commodities should be trending. Interest rates and currencies, one of those two should be trending as well.

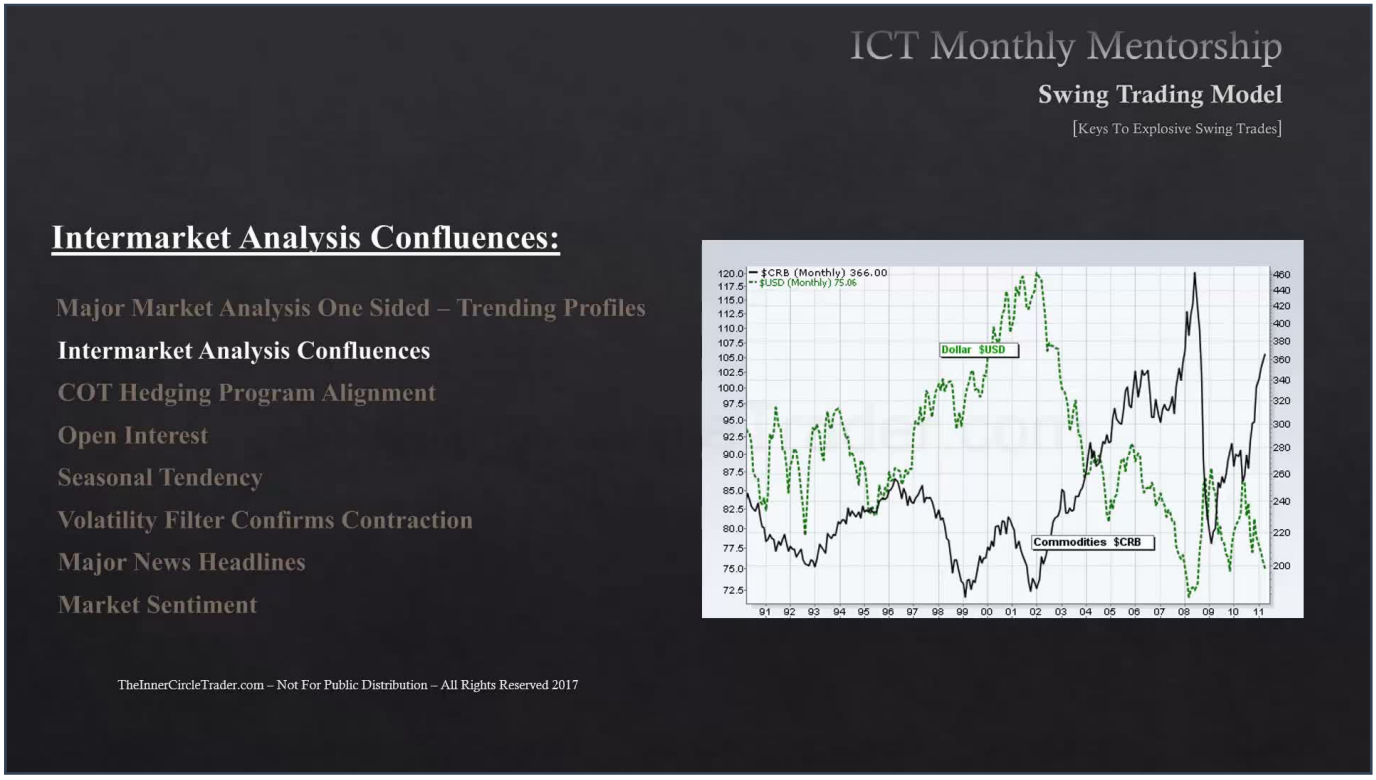
- You want to group Commodities and Stocks together; one of those must be in a trending environment.

- And Currencies and Interest Rates; one of those two must be in a trending environment.

So you have to have one of the two groups being in the trending environment, and that helps really frame the models that the algorithms will use to move price around, not just in foreign exchange but in all the other asset classes, with the exception of commodities, which are really focused in on real supply and demand factors.

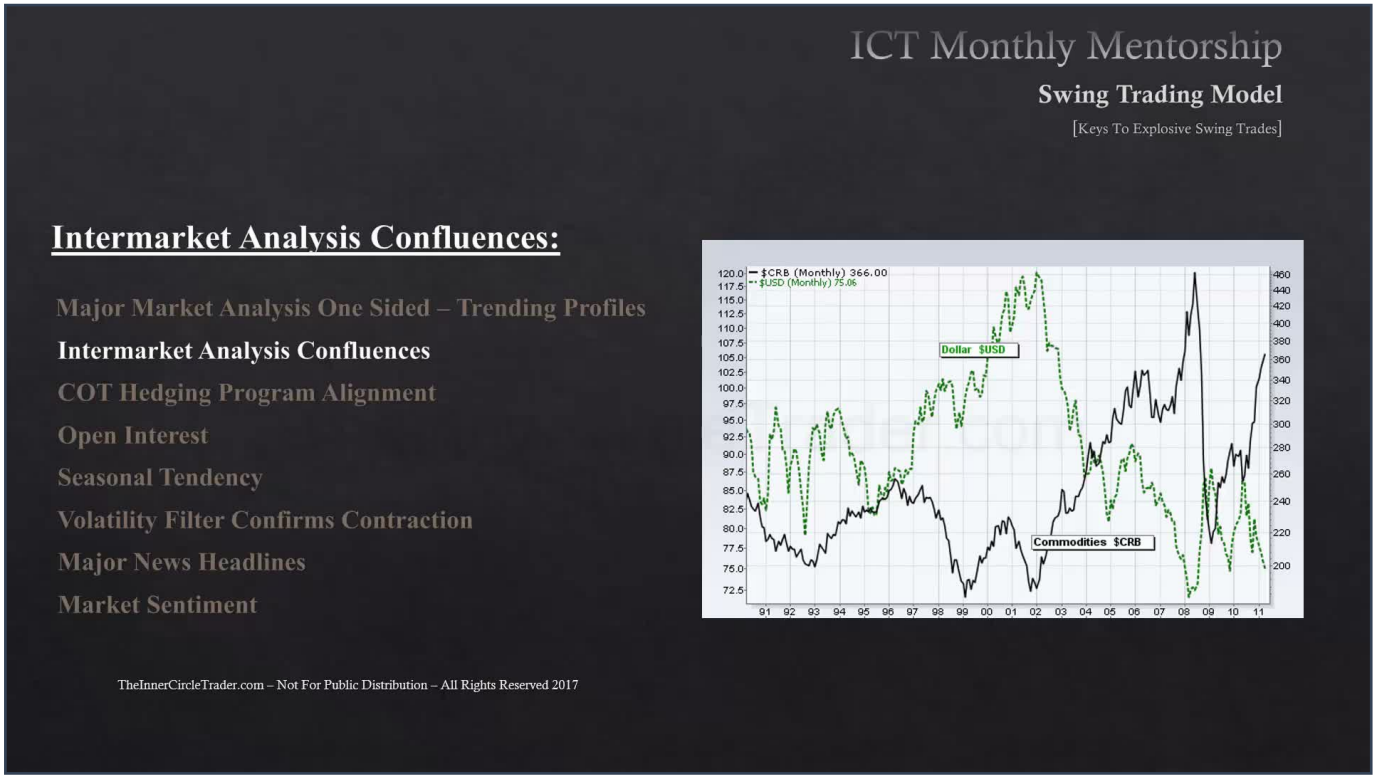


Intermarket analysis confluences. We've talked about intermarket analysis, we've all taught how I look at it, what things I look for, but I want to bring it up as a hallmark here and not beat it to death, but you already know how I look at intermarket analysis because there was a specific teaching in January about it. The market as a whole, we look for specific inverse relationships and positively correlated markets to suggest that if we're bullish on one asset class or that one market in that asset class, is there supporting ideas through the use of intermarket analysis to build a confluence? Is it supported in other asset classes or other markets?



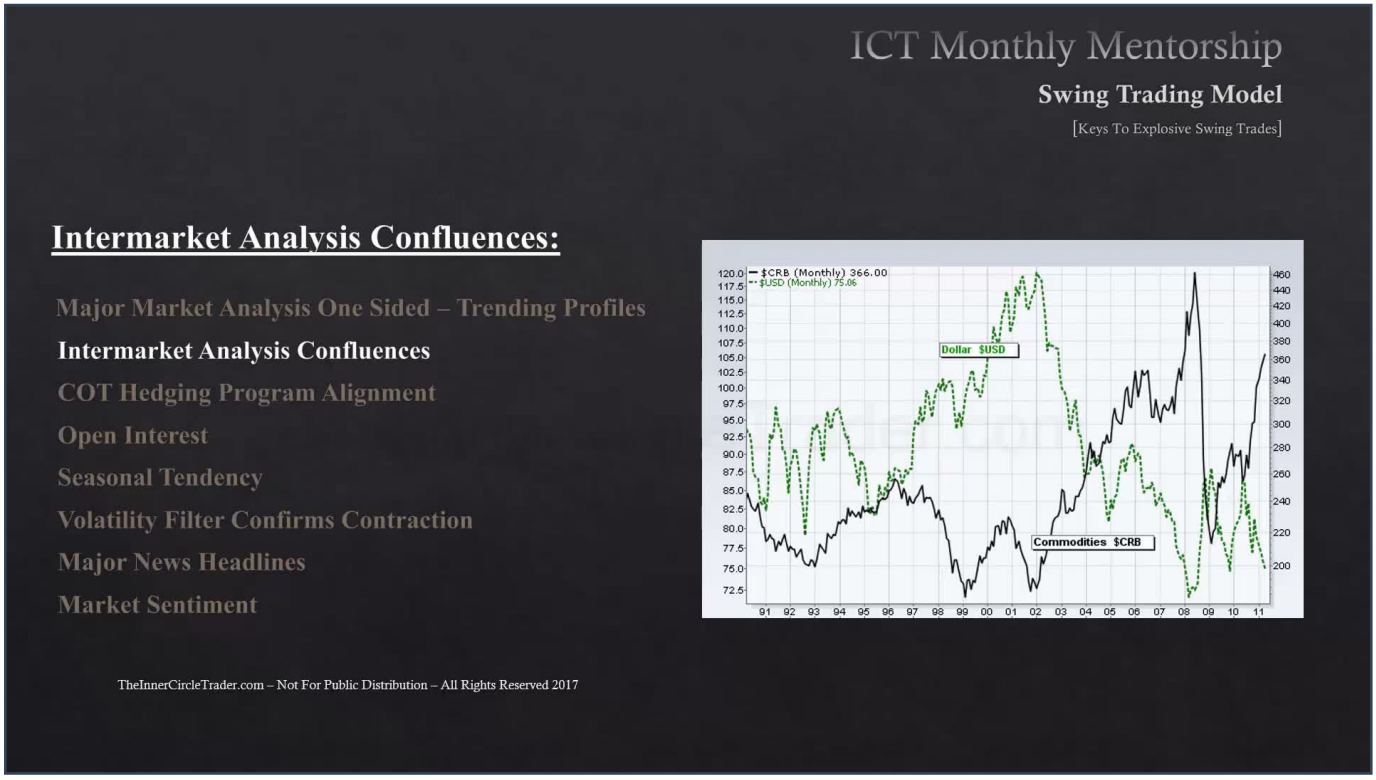
If we're going to be trading Forex, if we're looking for the dollar index to be bullish, we would look for commodities to be at levels of resistance, or an inability to rally higher, or if it does make a higher high, it fails and goes lower. The commodities would be moving lower very easily or trending lower in that environment when the dollar will be bullish. And then, obviously, it would be said that in opposite terms if we're looking for a bearish dollar, commodities would be easily trading through their old highs and very stubbornly going below their old lows, and they would be moving aggressively higher with very little consolidation, more upside than they do anything else.

- Anything below an old low when the dollar's weak for commodities, if they take out an old low, many times you can expect Turtle Soup scenarios in that condition, and they would rally higher. So that's what we'd be looking for for intermarket analysis and confluences.

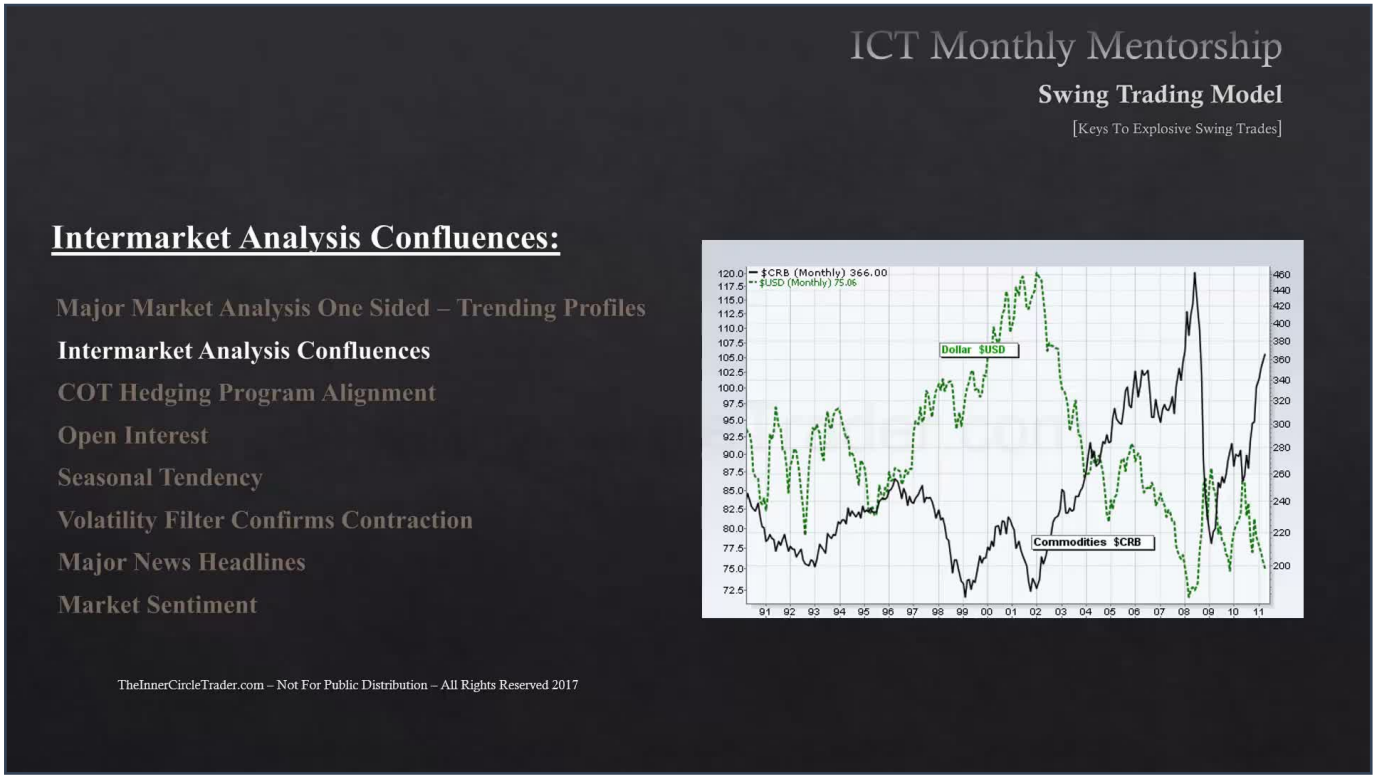


So if we have those ideas seen across many sectors and commodities, not just the CRB Index that's being indicated here, are the grain markets if we're bullish on the dollar? Are we seeing soybeans and wheat and corn fail to make higher highs, or if they do make higher highs, are they rejecting them quickly, and are they seeing their lows blown out, and are they trending lower? That's supportive of a bullish dollar. And the reverse would be seen looking for a weaker dollar.

- We would see those commodities making higher highs and very little resistance at all, and strong support levels. And if lows are taken out in commodities while the dollar is weak or expected to be weak, those lows in commodities would just be Turtle Soup longs, whether it be a false break below and a low, then you see higher prices in commodities. If you see that, you have confirmations the dollar is in fact strong or weak relative to those ideas. If the dollar is strong in those classifications, then we can see bearishness in foreign currencies. And if the dollar is weaker, you pair that up with stronger foreign currency, and it's good without saying that's how we use the confluences for intermarket analysis.

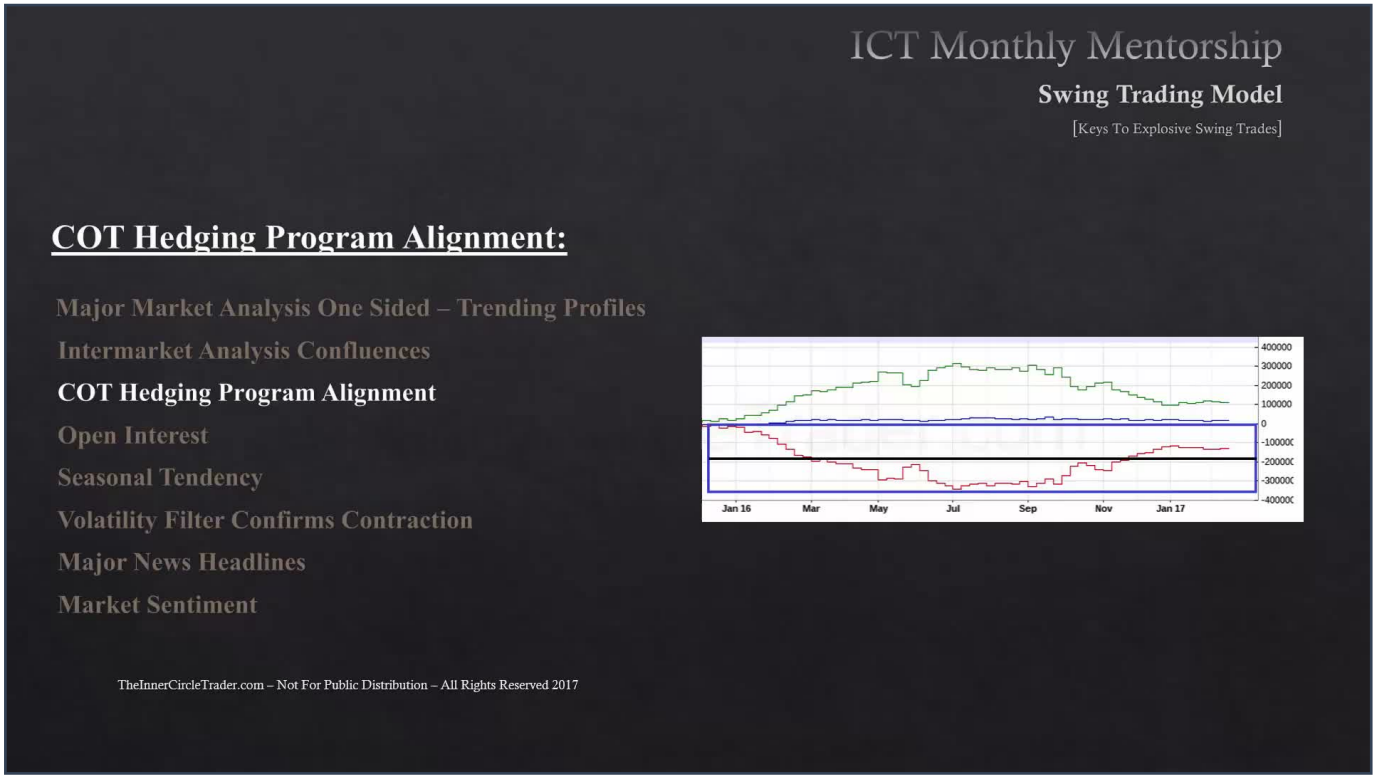


So we look for trending environments as a whole. Either stocks or commodities have to be in trending environments, or, and I'm sorry, intermarket analysis suggests that we see the reflection of trending environments in currencies and interest rates as well. One of those two have to be in a trending environment. So between the two major asset classes, we have to have at least two in a trending environment to support the idea that there's going to be an explosive high-probability swing trade.



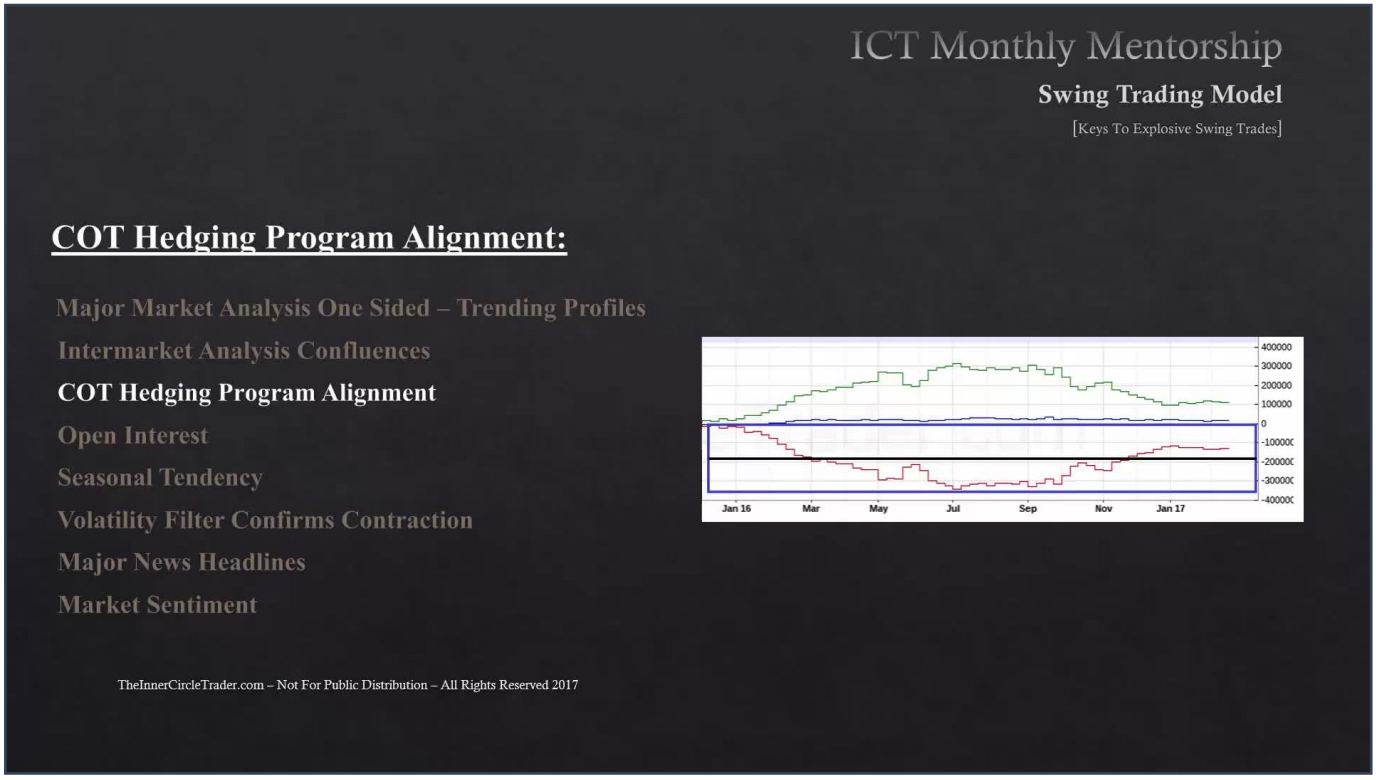
COT hedging program alignment. What we look for in this is the last 12 months of the Commitment of Traders report held by the commercials. The commercials are the largest producers or providers of a commodity, and they may manufacture it, they may grow it, they may offer it in terms of like a currency, like a bank - that's their commodity, if you will, so they make it available, they're the storehouse of it.

- I like to look back over the last 12 months because hedging is usually done over a plan using the last 12 months data. So what was pricing like last 12 months? What was the commodity price based on real supply and demand factors last March, last January, last August, last December? By looking at a range of 12 months, it gives them an idea on how they should hedge pricing because they use the last 12 months to frame their expectation of what may be normal or would be reasonable to expect going forward for the next 12 months, so they use that for hedging.



Because of that, many times they're going to see a long-term net short positions in a commodity through the use of the Commitment of Traders report. By looking at their net position being heavily net long or net short, for instance, if we're looking at a market that has a long term net short position being held by the commercials, that would be seen with the red line. This would be deemed as bearish by standard definitions and teachings by Larry Williams, who did the majority of the early work on Commitment of Traders reports being made public.

- As a hallmark, I want to see: are commercials buying or are they selling in their hedging program right now as I'm doing the trade we're about to take? What I do is I frame the last 12 months and look at the highest high and lowest low and divide it in half. And I have a new zero line, so I ignore the zero line on the standard net trader's position chart that everybody has access to (you can find this on barchart.com).

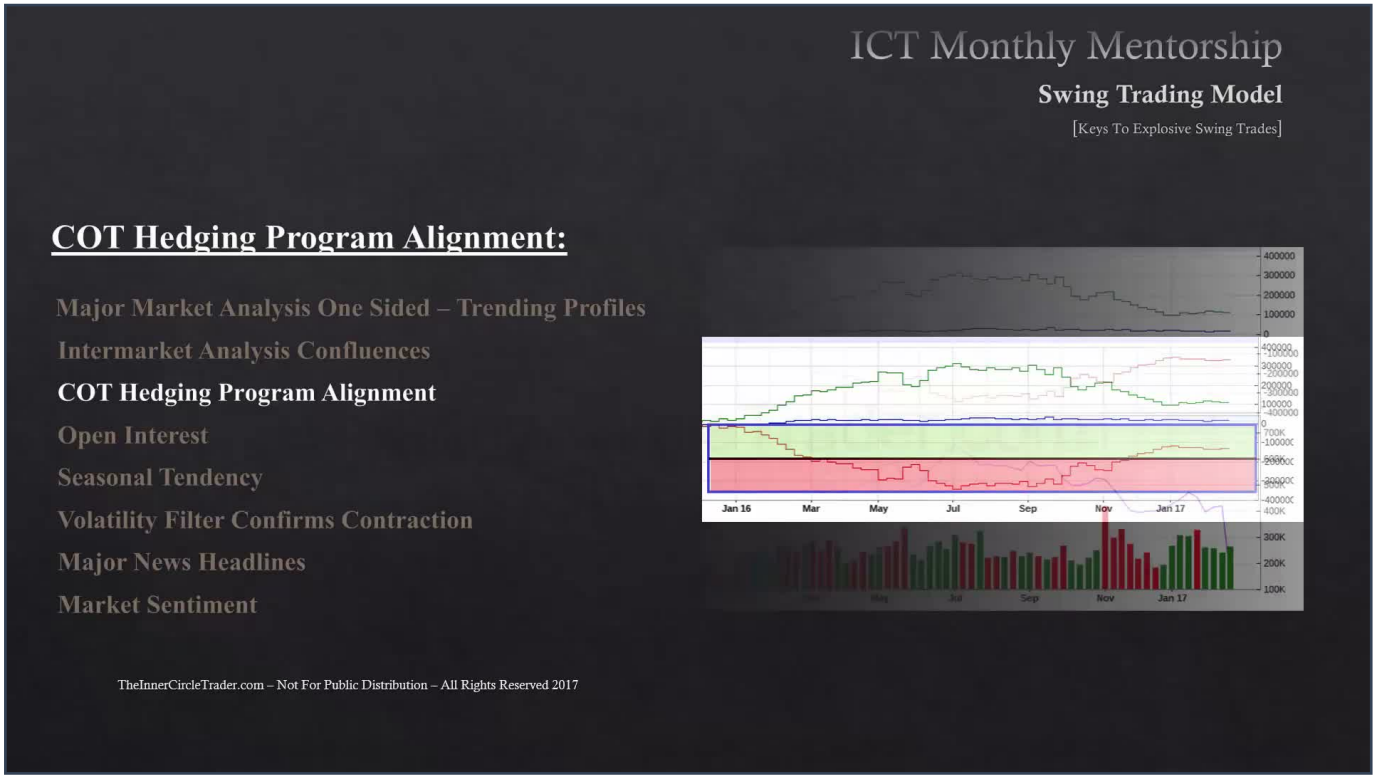


I define that new range in the last 12 months of the commercial activity. That's my net short or net long basis, the 50 mark of that range. January 2016, you can see that's where the highest portion of their holdings were, that at the time was still underneath the net sum zero line, so they would be either neutral or slightly bearish in January 2016. Then in July 2016, the red line went as low as it shows there, and that's the range they need to find that by a high level and low level, divided in half, and that's going to be your new zero level, or bullish or bearish level.

- You can see in December of 2016, we went above that new adjusted or makeshift zero line as I'm indicating here by looking at their hedging program, so they were buying aggressively in December. So if we see this, even though they're below the net sum zero line from a net trader's position chart from everyone's perspective in the retail world, I see that as buying in December going into January and still presently now, they're buying.

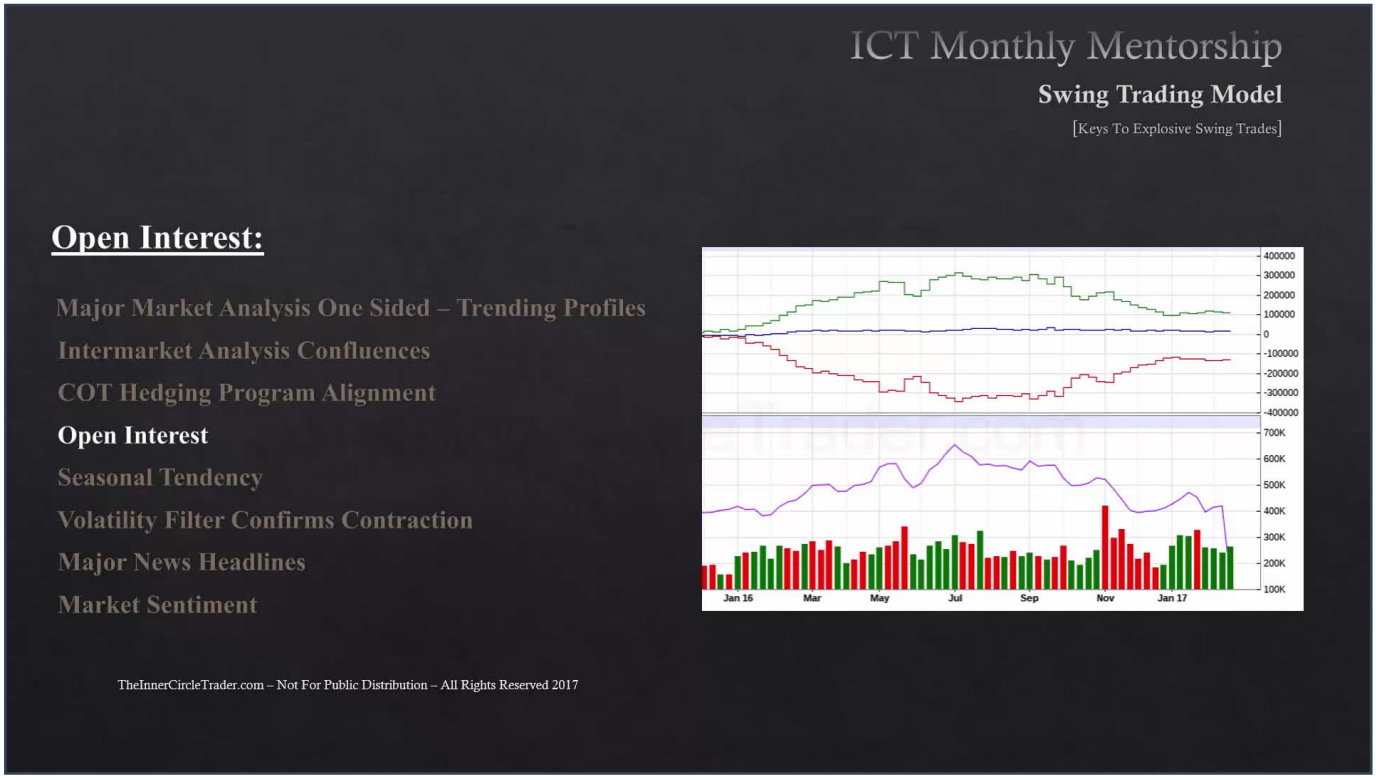
- If we see this in alignment with the expectation that the market should be going in a trending environment, and intermarket analysis suggests that the market itself is going to go higher and other markets that are inversely correlated to it are going to go lower, then we have the COT hedging program in alignment stating that yes, the commercials are, in fact, they're buying, so we can go into our next stage of analysis looking at open interest.

- If we see the market, if in conditions were bearish, if this is the environment, you would see where we're above that zero line and the market's been trending lower, and we are seeing this, this would not be supportive of a strong sell. This would be at odds with that idea, so you'd have to wait for that red line to go back down below that new zero basis line or that heavy thick black line I've created separating the green and the red line.



Open interest, we're going to look at the relationship of open interest because it shows us an X-ray view, if you will, of what the smart money is doing. Open interest, real quick, if we see an increase or reduction of open interest, and that's donated by the purple line here, it's a cumulative line of showing the total open interest in any one market, and it's going to be only shown through a commodity because that's where you get this information from.

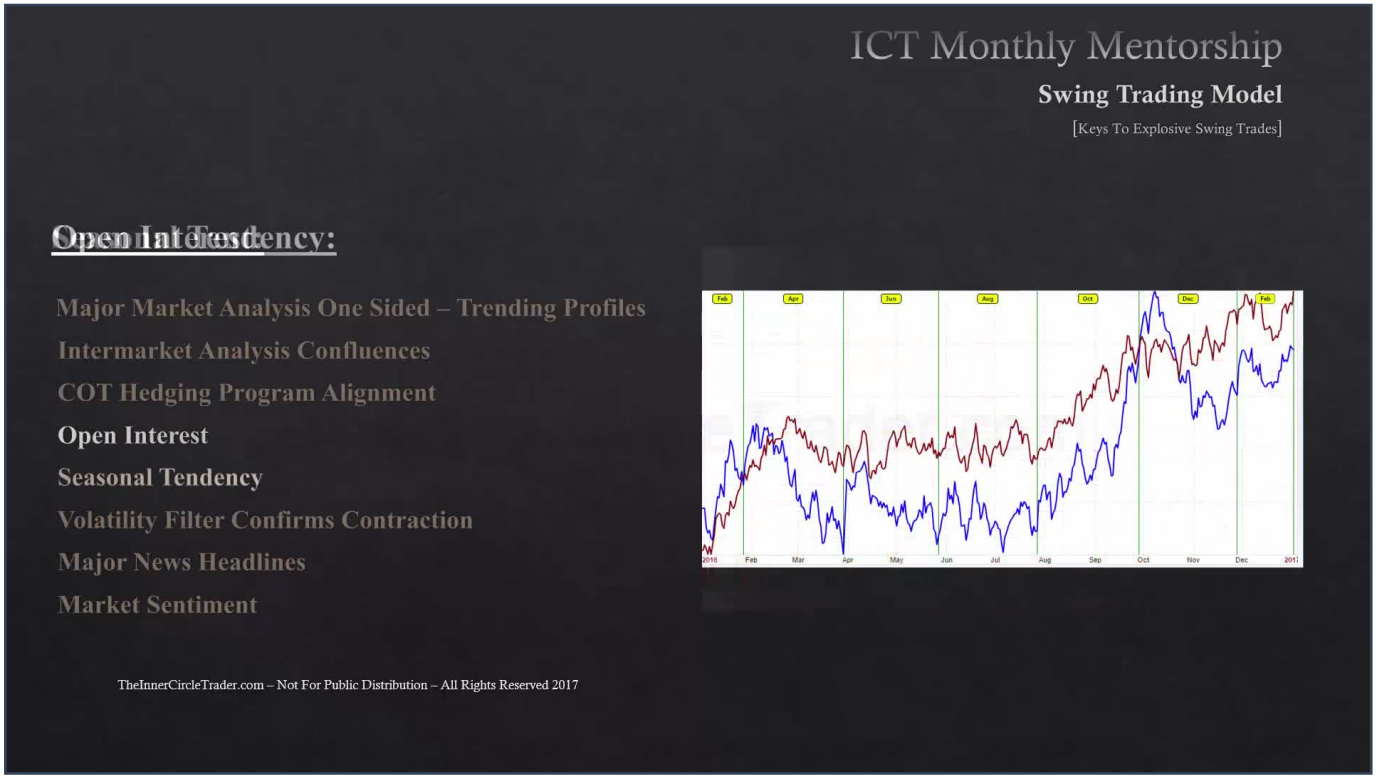
- If open interest declines 10 percent or 15 percent or more, that's indicative of commercial short covering. If there is a reduction of open interest, that shows their willingness to not want to offer liquidity or expect lower prices, because they think that prices are going to go higher significantly, otherwise they would hold on to their open positions and their heavy net short position. It's confirmed when you see the red line, which is commercials in a net traded position chart, go higher towards the zero line. So that's a reduction of open interest and a confirmation that they are reducing their short positions. Otherwise, that red line would be either staying flat or going lower.



It's going up at the same time that purple line drops down from November. So November into December, there was a huge reduction in open interest, over 500,000 contracts down to just 400,000. So over 100,000 contracts taken off that were short, and you can see that that reduction is seen with that increase or movement higher in the red line by the commercial traders. This is confirmation that your trade would be a bullish scenario and explosive price action should be expected.

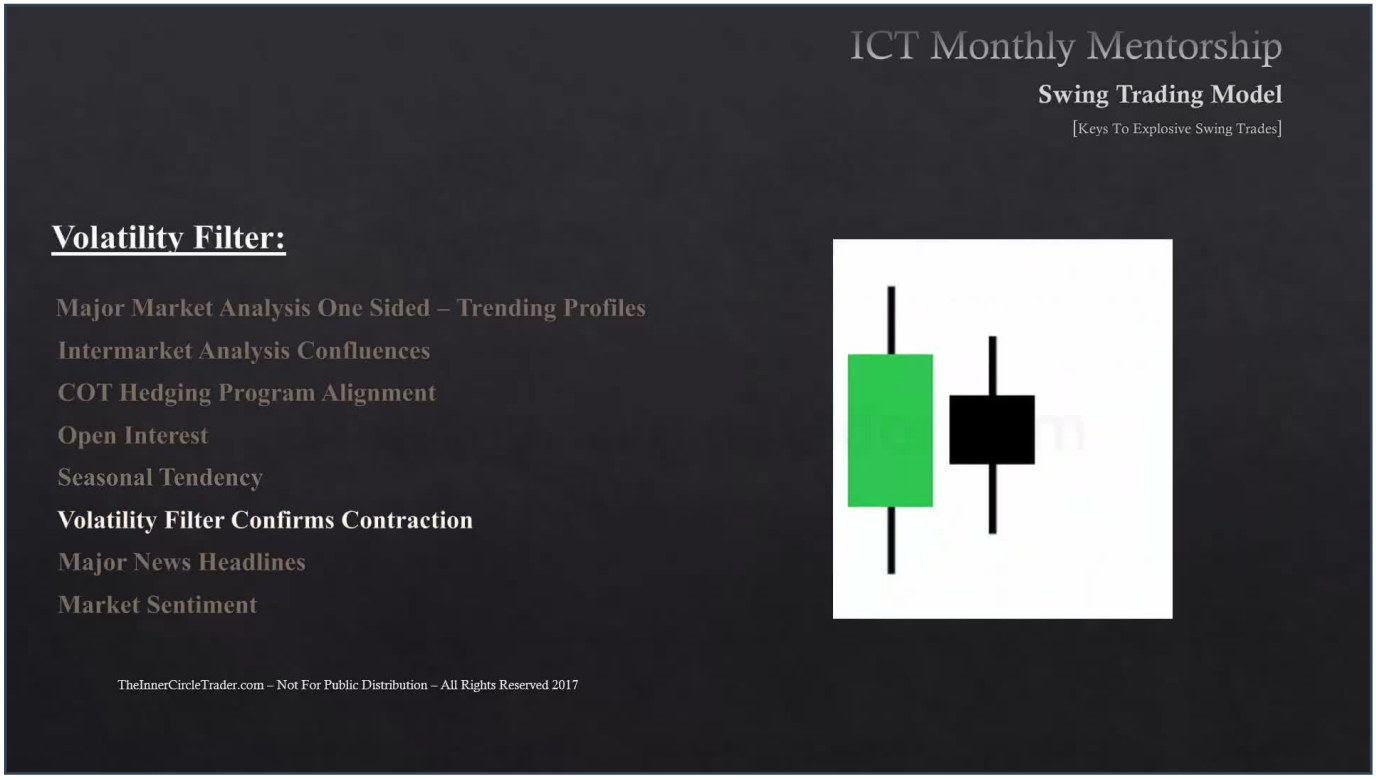
- If we see an increase of open interest 10 percent to 15 percent or more at a time when the commercials increase their net selling, or the red line goes lower, that is bearish.

- You can see the open interest declining here November going into December, at the same time the red line is increasing in value, which is the reduction of short selling, so they don't have a heavy net short position on, and at the same time open interest is declining. This is bullish because they're not trying to hold on to a heavy short position.



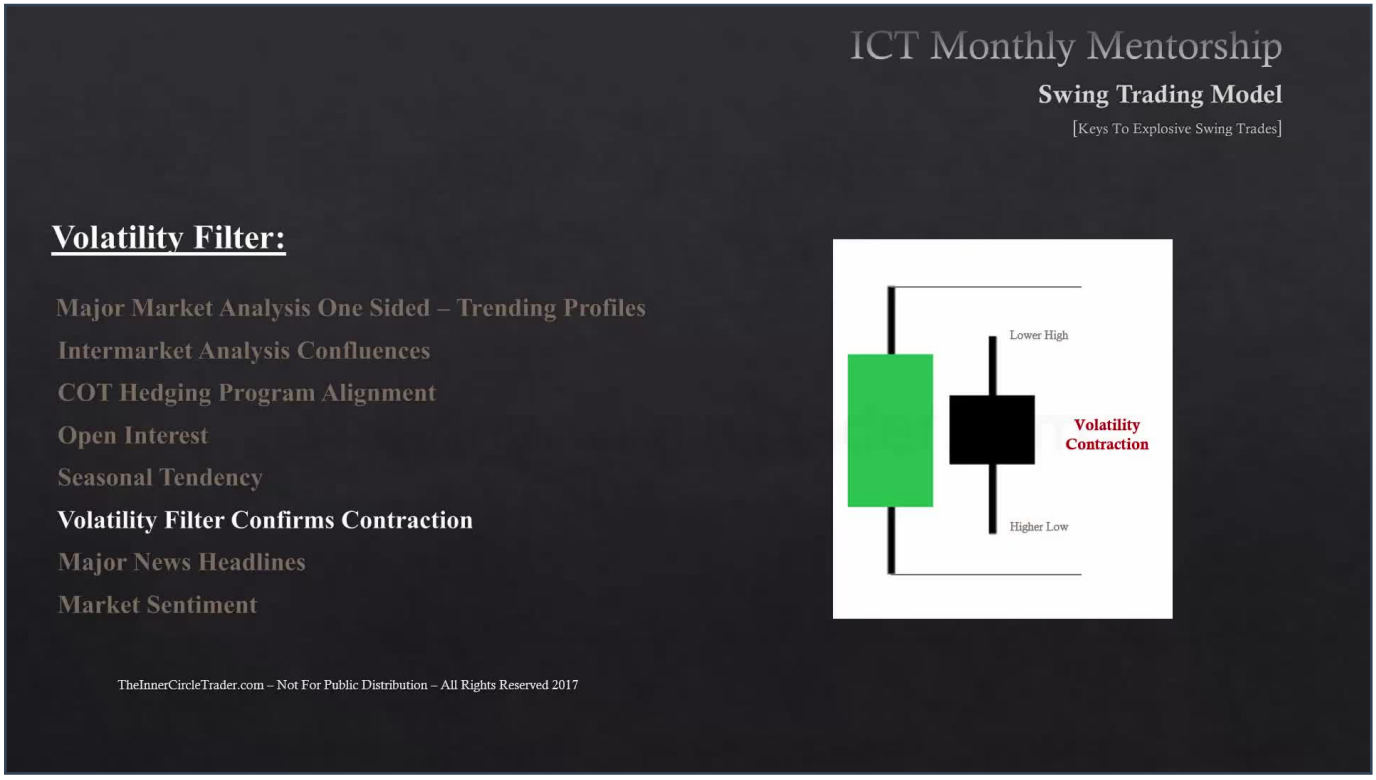
Okay, moving on, seasonal tendencies. We want to find obviously times when we take a swing trade when the seasonal tendencies are in line for a movement. So if we have our major market analysis suggesting that there's trending profiles in two of the major categories, open interest is declined, we have our hedging program suggesting that commercials are buying in their market analysis, suggests that this market is poised to go higher because other markets are suggesting that confirmation that's the case, and we see a seasonal tendency for the market to want to rally as indicated here (December into January and rolling over into the next year, you can still see January going into February, there's a strong tendency still for this market to go higher).

- If that's the case, we now have five things in our favor suggesting there's going to be an explosive price action in this particular market, and if we're suggesting it's going to go higher, we know now that there's a strong degree of probability there's going to be explosive price move going higher. Prices should move higher not in small ranges, but should be explosive, and it shouldn't be a lethargic price action move.



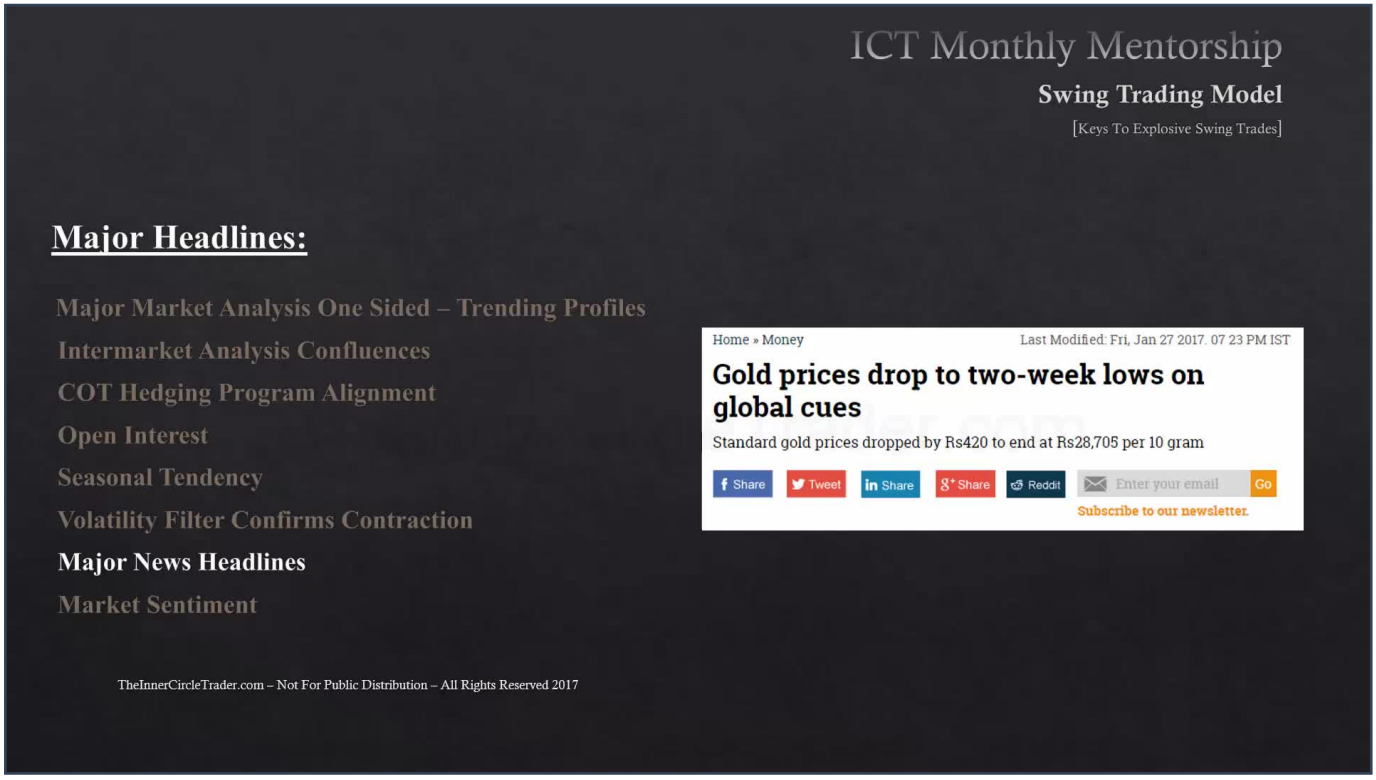
Now we're going to talk about volatility filters. And a volatility filter is simply a contraction idea where price moves from a large range down to a small range. And it's universal, it can be applied to monthly, weekly, daily, or any other time frame. But if we look at the green candle as a monthly candle, and we see the next candle or next month's candle trade down to a smaller range, we look at the body of the candle, not the wicks.

- You can see that that's smaller secondary candle or the black candle, and it doesn't make a difference if it's an up close or down close, that's not important here. What we look for is the lower high and the higher low. This is called an inside candle or inside bar. Conceptually, it's a volatility contraction, so that means there's a high probability that the next candle or the next candle after it will be a large range candle, especially if you have a condition that's poised to go higher or lower.



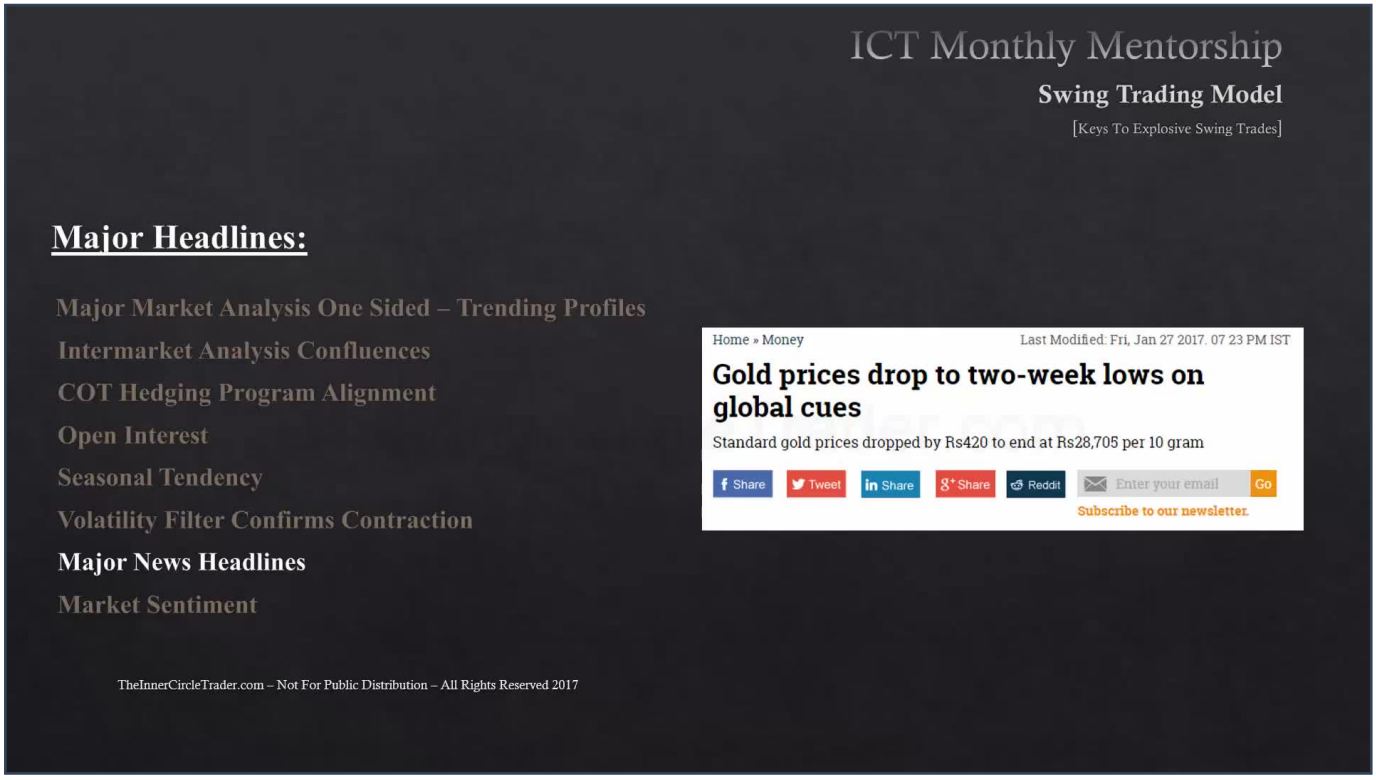
So if it's trading at a level that would be offering us support, and we have all the factors that we mentioned so far in alignment suggesting there's going to be an explosive price move, and then we had the direction picked as bullish, the next candle or next month's candle should be an explosive up candle or green candle, or if not that one, the very next one. So it gives us an anticipatory expectation for price to explode to the upside. But it doesn't give you timing, it just gives you the stage that yes, this is going to very likely have an explosive price move to the upside.

- This can also be seen as the smallest range in the last seven days. That's another filter you can use. You can also do the last three days, the smallest range in the last three days. So I use the last three days, the last seven days, and I use any inside candle or inside bar to frame the context around a trade that I have already seen coming. If I get this, this really adds to it. It's like that little wind-up of a spring again, that analogy I like to use, and it's going to be let go and there's going to be dynamic price movement.



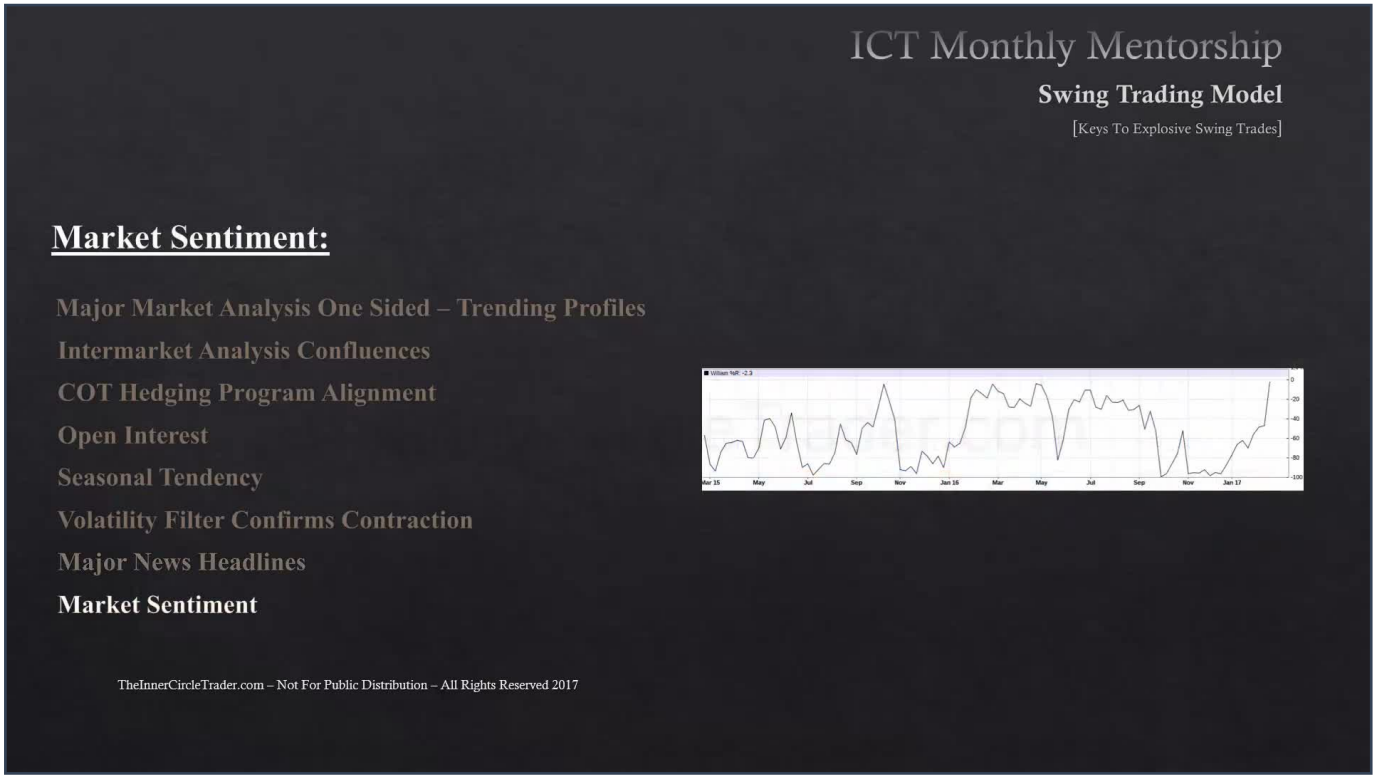
Major news headlines. If I'm bullish on a particular market, and say we're looking at gold as an example, if we have all these things lending well to the notion that gold should be bullish, everything in the cards is suggested higher prices. If I'm about to buy or I'm looking to be a buyer, I like to see headlines that show describing weakness or justifying why price went down. Because if I see that, I know it's going to build in market sentiment for retail-minded traders.

- When they see this type of stuff, they don't want to buy gold, they think I'm going to sell gold because they think that the news media or the talking heads or CNBC, they're smart people, therefore they are traders, and that's not the case. If they were traders, they'd know what they're doing, they wouldn't be on the anchor position talking to us about why something already happened, they would be home trading it live before the fact.

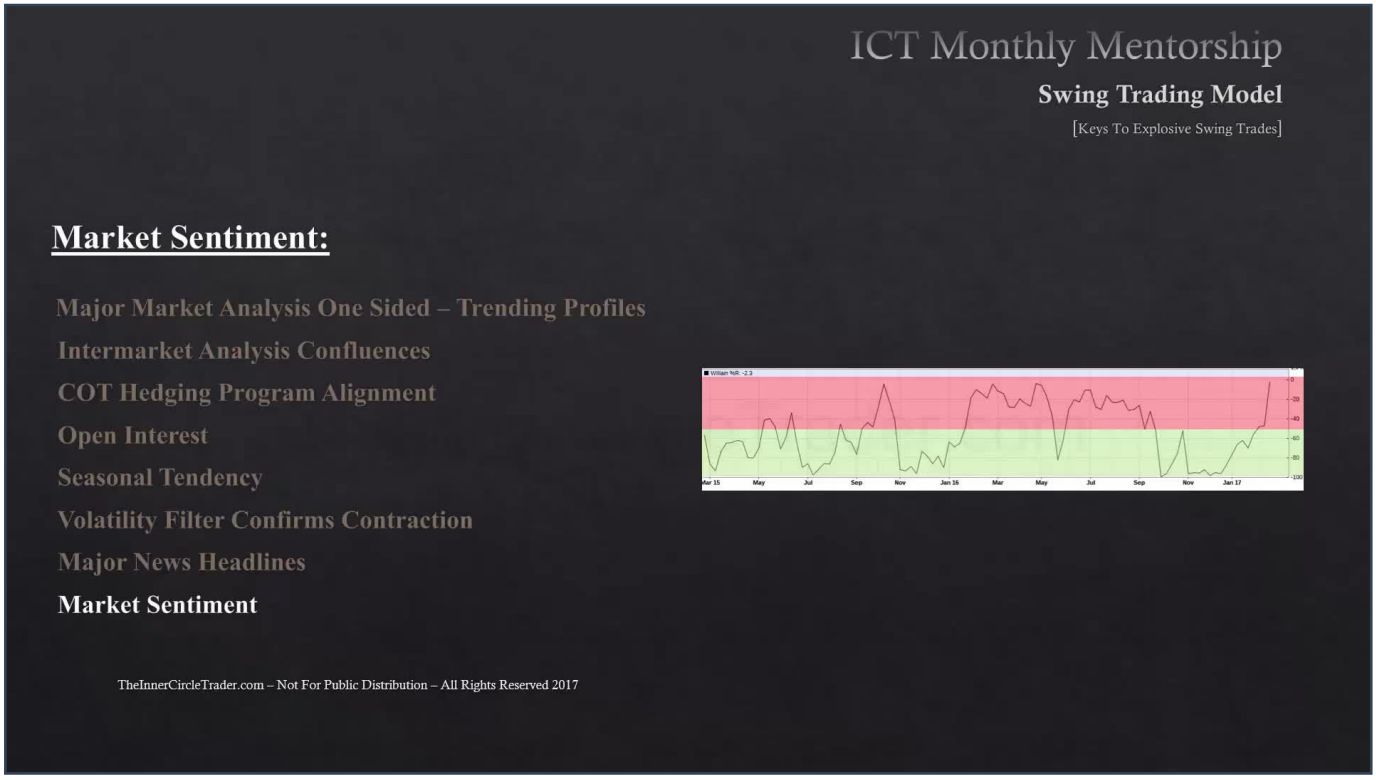


If we're also bearish on a particular commodity or a pair or market, if we're bearish and we see price trade up into a level we want to be short, ideally you want to see news headlines that are talking about how good it's been moving up or how it's hitting all historic highs or it's done something that looks underlying bullish in the commentary that they put on there.

- For futures, I subscribe to Futures magazine and they do every month they talk about a particular market or two and they say how great this market's been moving or how bad something's been happening. Usually, I think the catalyst that really sets up a really nice swing trade. And if you can start seeing that also at a time on the internet, just go through the major headlines, go like on Market Watch or CNBC, anything that has a lot of talking heads and a lot of audience members usually following it, if they start talking about a market when you're looking to be a bullish buyer and they're giving headlines that are bearish, oh man, that's like a loaded deal, it's so good to see that and it's also dimensionally opposed to what you would expect to see. Retail sees this and they don't want to trade gold long, they think it's going lower, but we go in step right in front and say okay, we're trading right in there when the sentiment is most weak.



Which brings us to market sentiment. I use an indicator for this, and yes, I heard that right, I use an indicator. The Williams Percent R, to my opinion, it's the most accurate in terms of an indicator for overall oversold. And what I do is I plot a 15-period Williams Percent R on a daily basis, and I do a simple overbought/oversold idea. And I divide it and use anything at the 50 level or below, that is oversold and a buying area. Everything above the 50 level is overbought or a selling area.



And if we're at the 50 level and we've left the oversold scenario, I will still factor a potential buy. And if we left an overbought condition recently and traded down hovering around the 50 level, I will favor the overall side to over the oversold condition. In other words, if we're at a point of equilibrium or at the 50 level, wherever we left most recently, whether it be overbought or oversold, I elect to go with that sentiment.

- And that's it, they're the hallmarks that I look for for explosive swing trades. They actually will be referred to again later on in the mentorship when we start talking about mega trades. But I'm actually going to give you an outline in lesson eight to incorporate some of these ideas, and also we're going to break down the actual swing trading model, what we do from step one to execution and management on the trade. Until next lesson, I wish you good luck, good trading.